Midas Burner Fix Audit

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Midas Burner Fix Audit

This document presents the findings of a smart contract audit conducted by Côme du Crest.

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Scope

The scope includes contracts updated by `PR#234` as of commit `0xa9d604a` of `midas-apps/contracts`.

Context

In mToken, the blacklist check is not performed during burns as they require the trusted `_burnerRole()` and the burner can verify offchain that the `from` address is not blacklisted:

```
    function burn(address from, uint256 amount)
        external
        onlyRole(_burnerRole(), msg.sender)
    {
        _burn(from, amount);
    }
```

However, with the introduction of Axelar and LZ integrations the burner role is now granted to adapters contracts that start cross-chain vaults interactions. These contracts will call the `burn()` function by-passing the blacklist during cross-chain transfers. This enables the following scenario as explained by the protocol:

- user A is blacklisted on Ethereum
- user A starts the bridging flow from Ethereum to Base. During this step tokens are burned from user A. User A also specifies custom recipient wallet on Base, which is not blacklisted.
- user A receives tokens on Base on his clean wallet and now he can redeem tokens via Midas vaults

The chosen fix is to add blacklist checks to the `burn()` function and add a new `burnGoverned()` the uses the previous `burn()` behaviour:

```
    function burn(address from, uint256 amount)
        external
        onlyRole(_burnerRole(), msg.sender)
    {
        _onlyNotBlacklisted(from);
        _burn(from, amount);
    }
```

```
8
9       function burnGoverned(address from, uint256 amount)
10          external
11          onlyRole(_burnerRole(), msg.sender)
12      {
13          _burn(from, amount);
14      }
```

Status

No issues have been found.

The found and reported issue is fixed by the PR.

The report has been sent to the core developer.

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